

2022 C L D 114

[Lahore]

Before Jawad Hassan, J

AZGARD NINE LIMITED and others---Petitioners

Versus

REGISTRAR OF COMPANIES and others---Respondents

Writ Petition No. 66045 of 2020, decided on 12th October, 2021.

Constitution of Pakistan---

---Art. 199---Constitutional petition---Affixation of stamp on certified copies---Scope---
Petitioners sought declaration to the effect that the act of Registrar of Companies in fixing a note on the certified copies of their corporate record to the effect that the Securities and Exchange Commission of Pakistan (SECP) did not take the responsibility of its genuineness as an investigation/inquiry was pending finalization by the Commission/NAB/FIA, etc. was illegal, without lawful authority and of no legal effect---Contention of petitioners was that the note on the documents of the petitioner would create a negative impact regarding its responsibilities and credentials amongst the business community---Validity---High Court observed that the matter was concluded by the NAB against the petitioner and the issue was no more alive, therefore, with the concurrence of counsel for the parties, by issuing the writ of mandamus under Art. 199(1)(a)(i) of the Constitution, the respondent was directed to do what he was required by law to do and not to fix stamped note on certified copies of corporate record of the petitioners obtained from the Office only---Petition was disposed of accordingly.

Dr. Kumail Abbas Rizvi v. University of Punjab and others 2017 PLC (C.S.) 569 = PLJ 2017 Lahore 250 ref.

Al-Arabia Sugar Mills Ltd. v. Securities and Exchange Commission of Pakistan and others 2020 CLD 748 and PGP Consortium Ltd. v. Securities and Exchange Commission of Pakistan and others 2020 CLD 541 rel.

Tariq Kamal Qazi, Senior Advocate Supreme Court assisted by Farah Malik for Petitioners.

Ms. Sadia Malik, Assistant Attorney General for Pakistan.

Jam Khalid Farid, Assistant Advocate-General.

Ruman Bilal and Asif Muzaffar Sheikh for the SECP.

Ch. M. Farid-ul-Hassan, Special Prosecutor for NAB.

ORDER

JAWAD HASSAN, J.---The Petitioners have filed this Petition under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 ("the Constitution") to declare the act of the Respondent No. 1/Registrar of Companies, Securities and Exchange Commission of Pakistan ("the SECP") for fixing the stamped note on certified copies of their corporate record, as illegal, without lawful authority and of no legal effect.

2. Mr. Tariq Kamal Qazi, Sr. ASC submits that the Petitioner No.1, Azgard Nine Limited, is a limited company established under the Companies Ordinance, 1984, which has now been repealed by the Companies Act, 2017 ("the Act") and is also listed in the Pakistan Stock Exchange. He further submits that the Petitioner Company gained a repute to be one of the finest companies in representing valuable interests of many citizens of this country and has now dealt with other investors for further investments to run its industry as well as business, which is its fundamental right under Article 18 of the Constitution. He next contends that the reason for filing of this petition is that when the Petitioners filed the requisite fee with the concerned hierarchy of the SECP to obtain certified copies of their record (Form-A, Form-29 and other forms), they were informed that the Respondent No.1 has fixed a stamped note on the documents, which is given as under: -

"Copy of this form is being issued on the request of the applicant, however, this office does not take the responsibility of its genuineness there is an investigation/ inquiry by the Commission/NAB/FIA etc., and is pending finalization.

Assistant/Deputy/Add. Joint/ Additional Registrar of Companies"

He vociferously states that the aforesaid stamped note on the documents of the Petitioner Company will create a negative impact regarding its responsibilities and credentials amongst the business community to survive in this economic situation of the Pandemic COVID-19 and the economic deprivation. He claims that this stamped note mentions about an investigation/inquiry by the SECP, the National Accountability Bureau (the "NAB") and the Federal Investigation Agency, which is a general sweeping statement/declaration alerting others who will do business with the Petitioners.

3. Mr. Tariq Kamal Qazi, Sr. ASC goes on to argue that the impugned act on behalf of the SECP is against the Act and Regulation 20(2)(a) of the Regulations. He maintains that though the SECP is empowered under section 512 read with the provisions of section 462(2) of the Act to make regulations but the wording used in Regulation 20(2)(a) of the Regulations is in conflict with the Act. He contends that the SECP, being the regulatory authority/body of keeping and maintaining the record, cannot itself states about the genuineness of its own record because it offends the provisions of Article 4 of the Constitution, holding that it is an inalienable right of every citizen of Pakistan to be treated in accordance with law and no action detrimental to his/her life, liberty, reputation or property shall be taken except as per law. He pleads that the impugned action of fixing stamped note is desperately damaging reputation of the Petitioner Company in the business circle. He adds that under Article 14 of the Constitution every person has dignity and subject to law privacy of home, which is inviolable, but this right is also being infringed due

to the said action on part of the SECP. In this regard, reliance is placed on the recent judgments passed by this Court in the cases of *Al-Arabia Sugar Mills Ltd. v. Securities and Exchange Commission of Pakistan and others* (2020 CLD 748) and *PGP Consortium Ltd. v. Securities and Exchange Commission of Pakistan and others* (2020 CLD 541). He has further referred to judgment reported as *Dr. Kumail Abbas Rizvi v. University of Punjab and others* [2017 PLC (C.S.) 569] = (PLJ 2017 Lahore 250) in which this Court has elaborated the scope of fundamental rights by holding that all the fundamental rights are subject to law except the rights enshrined under Article 14 of the Constitution.

4. Today, Ch. M. Farid-ul-Hassan, Special Prosecutor, NAB states that the matter with regard to inquiry/investigation has been closed against the Petitioner in NAB Lahore, whereas the same is still pending before the NAB Rawalpindi, etc. therefore, the issue of fixing the stamped note on certified copies of their corporate record relates to the SECP, hence further direction can be issued to the Respondent/SECP accordingly. He relied on the judgment cited as "*PGP Consortium Ltd. v. Securities and Exchange Commission of Pakistan and others*" (2020 CLD 541) wherein it has been observed by this Court that:

"10. In view of above, the Petitioner-Company is directed to deposit Rs.15,000,000/- (Rupees Fifteen Million Only) with the Deputy Registrar (Judicial) of this Court till 05.12.2019, which can be withdrawn by the NAB as per outcome of the case, by filing application to this Court, in accordance with law. With the concurrence of learned counsel for the Parties, by issuing the writ of mandamus under Article 199(1)(a)(i) of the Constitution, the Respondent No.2/Registrar, Companies Registration Office, SECP, Lahore is directed to do what he is required by law to do and register the charge of financial institution(s) and security documents of the Petitioner-Company under sections 100, 105 and 448 of the Act read with Regulations 4 and 18 of the Regulations.

11. Disposed of accordingly. The Respondent No.2/Registrar, Companies Registration Office, SECP, Lahore shall conclude the matter within one (01) week after receipt of certified copy of this order."

Further relied on the judgment of this Court reported as "*Al-Arabia Sugar Mills Ltd. v. Securities and Exchange Commission of Pakistan and others*" (2020 CLD 748), wherein it has been held that:

"6. In view of above, with the concurrence of learned counsel for the Parties, by issuing the writ of mandamus under Article 199 (1)(a)(i) of the Constitution, the Respondent No.2/Assistant Registrar, Companies Registration Office, SECP, Lahore is directed to do what he is required by law to do and register the charge of any other financial institution and security documents of the Petitioner-Company under sections 100, 105 and 448 of the Act read with Regulations 4 and 18 of the Regulations, in the light of Paragraph No. 3 of letter No.1(61)HQ/ 974/IW-II/NAB-L, dated 07.11.2019, which reads as follows:

"3. In this regard, it is intimated that Competent Authority has allowed the creation/registration of Charge in the matter as mentioned in SECP is referred letter and its enclosures dated 11.10.2019. Furthermore, it is also advised that permission may be sought from this Bureau for

such future transaction(s) i.e. registration / modification / vacation of mortgage / charge documents of Messrs Al-Arabia Sugar Mills Limited."

7. Disposed of accordingly. The Respondent No.2/Assistant Registrar, Companies Registration Office, SECP, Lahore shall conclude the matter within one (01) week after receipt of certified copy of this order because crushing season of sugarcane has already been started from 04.11.2019."

5. In view of above, as the matter has been concluded by the NAB Lahore against the Petitioner/Company and the issue is no more alive, therefore, with the concurrence of learned counsel for the Parties, by issuing the writ of mandamus under Article 199(1)(a)(i) of the Constitution, the Respondent No. 1/Registrar, Companies Registration Office, SECP, Lahore is directed to do what is required by law to do and not to fix stamped note on certified copies of corporate record of the Petitioners obtained from the Lahore Office only. Because as stated above, no inquiry is pending against the Petitioners in NAB, Lahore, as stated by the Special Prosecutor, NAB, Lahore.

6. Disposed of accordingly. The Respondent No.2/ Registrar, Companies Registration Office, SECP, Lahore shall conclude the matter within one (01) week after receipt of certified copy of this order.

SA/A-108/L Order accordingly.